

RBI FAIR PRACTICES CODE

FOR LENDERS — PERSONAL, BUSINESS AND VEHICLE LOANS

(Mock document for educational/project purposes, based on publicly known RBI fair lending principles)

RBI/2024-25/FPC-LENDING

Issued by: Department of Regulation, Reserve Bank of India

1. APPLICABILITY

This Fair Practices Code applies to all Scheduled Commercial Banks, Non-Banking Financial Companies (NBFCs), and Housing Finance Companies offering Personal Loans, Business Loans, and Vehicle Loans to individual and business borrowers.

2. GENERAL ELIGIBILITY PRINCIPLES ACROSS LOAN TYPES

2.1 Personal Loans

- Minimum age: 23 years; Maximum age at loan maturity: 58-60 years
- Minimum monthly income: Rs. 25,000 for salaried applicants
- Minimum CIBIL score: 680 recommended; lenders may sanction below this with risk-based pricing
- FOIR cap: 60% of gross monthly income (including proposed EMI)
- Employment stability: Minimum 1-2 years in current employment recommended

2.2 Business Loans

- Minimum age: 25 years; Maximum age at loan maturity: 65 years
- Business vintage: Minimum 2-3 years of continuous operation required
- Minimum annual turnover: Varies by lender, typically Rs. 10 lakh or above
- Minimum CIBIL score: 650 recommended
- FOIR cap: 65% of monthly income for self-employed applicants, given variable cash flows
- Required: GST registration (where applicable), ITR for last 2-3 years

2.3 Vehicle Loans

- Minimum age: 21 years; Maximum age at loan maturity: 60-65 years
- Minimum CIBIL score: 700 recommended for new vehicle loans
- FOIR cap: 50% of gross monthly income
- Loan-to-Value: Maximum 85-90% of on-road vehicle price for new vehicles

3. RISK-BASED INTEREST RATE PRACTICES

3.1 Lenders must publish their interest rate range (minimum to maximum) for each loan product on their website.

3.2 The specific interest rate offered to an applicant must be linked to objective risk factors: credit score, income stability, loan tenure, and existing debt obligations.

3.3 Any differential pricing must be explained to the borrower in simple terms at the time of sanction.

4. COUNTER-OFFER PRACTICES

4.1 Where an applicant does not qualify for the requested loan amount or terms, lenders are encouraged to provide constructive alternatives such as:

- A reduced loan amount that fits within acceptable FOIR limits
- A longer tenure to reduce EMI burden
- Requirement of a co-applicant or guarantor to strengthen the application
- A secured loan option in place of an unsecured one, where applicable

4.2 Any counter-offer must be clearly communicated as a new proposal, with revised terms explicitly stated, and must not be presented as the originally requested loan.

5. TRANSPARENCY IN REJECTION

5.1 Loan applications must not be rejected arbitrarily. The primary disqualifying factor (e.g., insufficient income, low credit score, high FOIR) should be communicated to the applicant.

5.2 Lenders must respond to loan applications (approval, rejection, or query) within a reasonable timeframe, generally not exceeding 15 working days for retail loans.

6. PROHIBITED PRACTICES

Lenders must not:

- Use coercive methods for loan recovery
- Discriminate based on gender, religion, caste, or region in the loan sanctioning process, where the applicant otherwise meets eligibility criteria
- Levy hidden charges not disclosed at the time of sanction
- Mis-sell loan products bundled with insurance or other financial products without explicit consent

7. GRIEVANCE REDRESSAL MECHANISM

Every lender must maintain a Grievance Redressal Officer and a defined escalation matrix, with contact details displayed on the loan sanction letter and the lender's website. Unresolved grievances may be escalated to the RBI Ombudsman scheme.

END OF FAIR PRACTICES CODE

This is a mock/educational document created for a GenAI capstone project demonstrating RAG-based retrieval over regulatory guidelines. Content reflects generally known RBI fair lending principles and should not be used for actual lending decisions.